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09) Incomplete Records

What are Incomplete Records?

- Double entry is very important to keep records of transactions formally and accurately.
- Failure to follow double-entry system and maintain records of transactions formally is an incomplete entry system.
- Because of → various problems can arise
- Decision makers have to face various problems because of informal
- An accounting system contary / conflicting to double entry system is incomplete records.
- Keeping only one of the double entries of a transaction is known as "The Single-entry system."

Reasons for Incomplete Records

→ Unawareness of double entry system
→ Keeping double entries is too expensive
→ Double entry accounting system has not been made compulsory
→ Intention of deception / dishonesty
→ Negligence

Disadvantages of Maintaining Incomplete Records

- Impossibility of knowing the accurate operational income
- Impossibility of being accurately aware of the financial position.
- Inability of making accurate decision due to lack of correct information.

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Preparing the financial statements by converting the details available into double entries.

When incomplete records are converted to double entries, the following accounts and statements should have been prepared. The following facts can be disclosed through these accounts and statements.

01. Statement of Affairs
   - Opening capital

A statement of Affairs is similar to a balance sheet but is used when full accounting records are not available. It lists the assets and liabilities of a business to determine the owner's equity (capital) at a specific point in time.

02. Cash book
- Cash sales
- Receipts from debtors
- Cash purchases
- Payments to creditors
- Drawings in cash
- Cash balance
- Non-recorded revenue or expences
- Cash shortages

03. Debtors - control account
- Credit sales
- Receipts from debtors
- Opening/ending debtors balance.

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04. Creditor - control account
- Credit purchases
- Payments to creditors
- Opening / ending creditors balance

05. Trading account
- Stocks
- Purchases / Sales
- Cost of the goods sold
- Gross profit

06. Considering the opening balance of fixed assets and the closing balance of fixed assets it is possible to derive the total amount of depreciation for the accounting period.

Profit on cost and Profit on Sales

Profit on Cost

- 100x is the cost
- Profit = cost x %
- Generally (not always) use the word markup

Profit on Sales

- 100x is the Sale
- Profit = Sales x %
- Generally (not always) use the word margin

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